

HOUSE OF REPRESENTATIVES - FLOOR VERSION

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR
HOUSE BILL NO. 4263

By: Johns

COMMITTEE SUBSTITUTE

An Act relating to public retirement systems;
amending 62 O.S. 2021, Section 3103, as last amended
by Section 127, Chapter 452, O.S.L. 2024 (62 O.S.
Supp. 2025, Section 3103), which relates to the
Oklahoma Pension Legislation Actuarial Analysis Act;
modifying definition; amending 70 O.S. 2021, Section
17-103, as amended by Section 2, Chapter 300, O.S.L.
2024 (70 O.S. Supp. 2025, Section 17-103), which
relates to membership; modifying provisions related
to certain employees of the Department of Career and
Technology Education; and providing effective dates.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 62 O.S. 2021, Section 3103, as
last amended by Section 127, Chapter 452, O.S.L. 2024 (62 O.S. Supp.
2025, Section 3103), is amended to read as follows:

Section 3103. As used in the Oklahoma Pension Legislation
Actuarial Analysis Act:

1. "Amendment" means any amendment including a substitute bill,
made to a retirement bill by any committee of the House or Senate,

1 any conference committee of the House or Senate or by the House or
2 Senate;

3 2. "RB number" means that number preceded by the letters "RB"
4 assigned to a retirement bill by the respective staffs of the
5 Oklahoma State Senate and the Oklahoma House of Representatives when
6 the respective staff office prepares a retirement bill for a member
7 of the Legislature;

8 3. "Legislative Actuary" means the firm or entity that enters
9 into a contract with the Legislative Service Bureau pursuant to
10 Section 452.15 of Title 74 of the Oklahoma Statutes to provide the
11 actuarial services and other duties provided for in the Oklahoma
12 Pension Legislation Actuarial Analysis Act;

13 4. "Nonfiscal amendment" means an amendment to a retirement
14 bill having a fiscal impact, which amendment does not change any
15 factor of an actuarial investigation specified in subsection A of
16 Section 3109 of this title;

17 5. "Nonfiscal retirement bill" means a retirement bill:

18 a. which does not affect the cost or funding factors of a
19 retirement system,

20 b. which affects such factors only in a manner which does
21 not:

22 (1) grant a benefit increase under the retirement
23 system affected by the bill,
24

- 1 (2) create an actuarial accrued liability for or
2 increase the actuarial accrued liability of the
3 retirement system affected by the bill, or
4 (3) increase the normal cost of the retirement system
5 affected by the bill,

- 6 c. which authorizes the purchase by an active member of
7 the retirement system, at the actuarial cost for the
8 purchase as computed pursuant to the statute in effect
9 on the effective date of the measure allowing such
10 purchase, of years of service for purposes of reaching
11 a normal retirement date in the applicable retirement
12 system, but which cannot be used in order to compute
13 the number of years of service for purposes of
14 computing the retirement benefit for the member,
15 d. which provides for the computation of a service-
16 connected disability retirement benefit for members of
17 the Oklahoma Law Enforcement Retirement System
18 pursuant to Section 2-305 of Title 47 of the Oklahoma
19 Statutes if the members were unable to complete twenty
20 (20) years of service as a result of the disability,
21 e. which requires membership in the defined benefit plan
22 authorized by Section 901 et seq. of Title 74 of the
23 Oklahoma Statutes for persons whose first elected or
24 appointed service occurs on or after November 1, 2018,

1 if such persons had any prior service in the Oklahoma
2 Public Employees Retirement System prior to November
3 1, 2015,

4 f. which provides for a one-time increase in retirement
5 benefits if the increase in retirement benefits is not
6 a permanent increase in the gross annual retirement
7 benefit payable to a member or beneficiary, occurs
8 only once pursuant to a single statutory authorization
9 and does not exceed:

10 (1) the lesser of two percent (2%) of the gross
11 annual retirement benefit of the member or One
12 Thousand Dollars (\$1,000.00) and requires that
13 the benefit may only be provided if the funded
14 ratio of the affected retirement system would not
15 be less than sixty percent (60%) but not greater
16 than eighty percent (80%) after the benefit
17 increase is paid,

18 (2) the lesser of two percent (2%) of the gross
19 annual retirement benefit of the member or One
20 Thousand Two Hundred Dollars (\$1,200.00) and
21 requires that the benefit may only be provided if
22 the funded ratio of the affected retirement
23 system would be greater than eighty percent (80%)
24

1 but not greater than one hundred percent (100%)
2 after the benefit increase is paid,

3 (3) the lesser of two percent (2%) of the gross
4 annual retirement benefit of the member or One
5 Thousand Four Hundred Dollars (\$1,400.00) and
6 requires that the benefit may only be provided if
7 the funded ratio of the affected retirement
8 system would be greater than one hundred percent
9 (100%) after the benefit increase is paid, or

10 (4) the greater of two percent (2%) of the gross
11 annual retirement benefit of the volunteer
12 firefighter or One Hundred Dollars (\$100.00) for
13 persons who retired from the Oklahoma
14 Firefighters Pension and Retirement System as
15 volunteer firefighters and who did not retire
16 from the Oklahoma Firefighters Pension and
17 Retirement System as a paid firefighter.

18 As used in this subparagraph, "funded ratio" means the
19 figure derived by dividing the actuarial value of
20 assets of the applicable retirement system by the
21 actuarial accrued liability of the applicable
22 retirement system,

23 g. which modifies the disability pension standard for
24 police officers who are members of the Oklahoma Police

- 1 Pension and Retirement System as provided by Section
2 50-115 of Title 11 of the Oklahoma Statutes,
3 h. which provides a cost-of-living benefit increase
4 pursuant to the provisions of:
- 5 (1) Section 49-143.7 of Title 11 of the Oklahoma
6 Statutes,
 - 7 (2) Section 50-136.9 of Title 11 of the Oklahoma
8 Statutes,
 - 9 (3) Section 1104K of Title 20 of the Oklahoma
10 Statutes,
 - 11 (4) Section 2-305.12 of Title 47 of the Oklahoma
12 Statutes,
 - 13 (5) Section 17-116.22 of Title 70 of the Oklahoma
14 Statutes, or
 - 15 (6) Section 930.11 of Title 74 of the Oklahoma
16 Statutes,
- 17 i. which provides for the reinstatement of retirement
18 benefits for members of the Oklahoma Law Enforcement
19 Retirement System pursuant to Section 2-305 of Title
20 47 of the Oklahoma Statutes for those who were hired
21 on or after November 1, 2012, or May 24, 2013,
- 22 j. which authorizes the purchase of military service
23 credit as provided in Section 50-128 of Title 11,
24 Section 1102.2 of Title 20, Section 2-307.4 of Title

47, and Section 913.8 of Title 74 of the Oklahoma Statutes,

k. which restores benefits pursuant to Sections 49-100.1, 49-101, 49-101.2, 49-106.1, 49-108, 49-117.1, and 49-135 of Title 11 of the Oklahoma Statutes,

l. which modifies the computation of the line-of-duty disability benefit pursuant to the provisions of this act, and

m. which authorizes an election for certain retired members of the Teachers' Retirement System of Oklahoma pursuant to the provisions of Section 2 of this act.

A nonfiscal retirement bill shall include any retirement bill that has as its sole purpose the appropriation or distribution or redistribution of monies in some manner to a retirement system for purposes of reducing the unfunded liability of such system or the earmarking of a portion of the revenue from a tax to a retirement system or increasing the percentage of the revenue earmarked from a tax to a retirement system;

6. "Reduction-in-cost amendment" means an amendment to a retirement bill having a fiscal impact which reduces the cost of the bill as such cost is determined by the actuarial investigation for the bill prepared pursuant to Section 3109 of this title;

7. "Retirement bill" means any bill or joint resolution introduced or any bill or joint resolution amended by a member of

1 the Oklahoma Legislature which creates or amends any law directly
2 affecting a retirement system. A retirement bill shall not mean a
3 bill or resolution that impacts the revenue of any state tax in
4 which a portion of the revenue generated from such tax is earmarked
5 for the benefit of a retirement system;

6 8. "Retirement bill having a fiscal impact" means any
7 retirement bill creating or establishing a retirement system and any
8 other retirement bill other than a nonfiscal retirement bill; and

9 9. "Retirement system" means the Teachers' Retirement System of
10 Oklahoma, the Oklahoma Public Employees Retirement System, the
11 Uniform Retirement System for Justices and Judges, the Oklahoma
12 Firefighters Pension and Retirement System, the Oklahoma Police
13 Pension and Retirement System, the Oklahoma Law Enforcement
14 Retirement System, or a retirement system established after January
15 1, 2006.

16 SECTION 2. AMENDATORY 70 O.S. 2021, Section 17-103, as
17 amended by Section 2, Chapter 300, O.S.L. 2024 (70 O.S. Supp. 2025,
18 Section 17-103), is amended to read as follows:

19 Section 17-103. Except as provided in the Alternate Retirement
20 Plan for Comprehensive Universities Act, the membership of the
21 retirement system shall consist of the following:

22 A. All classified personnel shall become members of the
23 retirement system as a condition of their employment.
24

1 B. For the period from August 2, 1969, to June 30, 2021, all
2 full-time nonclassified optional personnel regularly employed for
3 more than one (1) year may join the Teachers' Retirement System of
4 Oklahoma subject to the rules and regulations adopted pursuant to
5 the Teachers' Retirement System of Oklahoma. On or after July 1,
6 2021, all nonclassified optional personnel regularly employed for
7 twenty (20) hours or more per week may join the System upon hiring
8 or eligibility, subject to the provisions of subsection C of this
9 section and the rules and regulations adopted by the System pursuant
10 to Section 17-101 et seq. of this title.

11 C. 1. Nonclassified optional personnel shall have thirty (30)
12 days from the initial date of hire or eligibility to make a one-time
13 irrevocable election to opt out of participation in the System, in a
14 manner required by the Board of Trustees. If an eligible employee
15 fails to make an election within the thirty-day period, the eligible
16 employee shall be deemed to participate in the System.

17 2. If an eligible employee elects to opt out of participation
18 in the System, the employee shall not make any required employee
19 contributions to the System and the employee's employer shall not
20 make any required employer contributions to the System.

21 3. If an eligible nonclassified optional employee does not
22 timely opt out of participation in the System, such an employee
23 shall make employee contributions to the System pursuant to Section
24 17-116.2 of this title and the employer shall make employer

1 contributions to the System pursuant to Section 17-108.1 of this
2 title. Nothing in this subsection shall be construed to prohibit
3 the employer from making the contribution of the employee to the
4 System on behalf of the employee.

5 4. Nonclassified optional personnel who opt out of
6 participation in the System shall be ineligible for future
7 participation in the System; provided, however, that if such an
8 employee is hired for a classified position, he or she shall become
9 a member of the System pursuant to subsection A of this section but
10 shall not be eligible for prior service credit for service performed
11 while employed in a nonclassified position during which the employee
12 opted out of participation in the System.

13 D. The Board of Trustees may, in its discretion, deny the right
14 to become members to any class of members whose compensation is only
15 partly paid by the state, or who is serving on a temporary or other
16 than per annum basis, and it also may, in its discretion, make the
17 individual entrance into the retirement system for members in any
18 such class optional.

19 E. Should any non-vested member, in any period of six (6)
20 consecutive years after becoming a member, be absent from service
21 more than five (5) years, withdraw his or her contributions, retire
22 or die, he or she shall thereupon cease to be a member. The
23 provisions of this subsection shall not apply to any member of the
24 Teachers' Retirement System of Oklahoma who has been a member of

1 such classes of military services as may be approved by the Board of
2 Trustees, until a period of one and one-half (1 1/2) years from date
3 of termination of such service shall have elapsed.

4 F. Effective November 1, ~~2019~~ 2026, a retired member of the
5 Teachers' Retirement System of Oklahoma who becomes employed by the
6 State Department of Education or by the Oklahoma Department of
7 Career and Technology Education, for the first time on or after
8 November 1, ~~2019~~ 2026, shall ~~have the option to remain a member of~~
9 ~~the Teachers' Retirement System of Oklahoma subject to any~~
10 ~~applicable limitations placed on retired members returning to work~~
11 ~~or may choose to~~ participate as an active member in the Oklahoma
12 Public Employees Retirement System defined benefit plan or the
13 Oklahoma Public Employees Retirement System defined contribution
14 system, whichever is applicable under the laws and rules governing
15 those systems.

16 SECTION 3. Section 1 of this act shall become effective October
17 1, 2026.

18 SECTION 4. Section 2 of this act shall become effective
19 November 1, 2026.

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21 COMMITTEE REPORT BY: COMMITTEE ON GOVERNMENT OVERSIGHT, dated
22 03/09/2026 - DO PASS, As Amended.
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